National Trust for Historic Preservation in the United States and its Subsidiaries and Affiliates

Consolidated Financial Statements,
Supplemental Schedules and
Independent Auditor's Report
Years Ended June 30, 2025 and 2024

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Contents

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Independent Auditor's Report

Board of Trustees
National Trust for Historic Preservation in the United States and its Subsidiaries and Affiliates
Washington, D.C.

Opinion

We have audited the consolidated financial statements of the **National Trust for Historic Preservation in the United States and its Subsidiaries and Affiliates** (the Trust), which comprise the consolidated statements of financial position as of June 30, 2025 and 2024, and the related consolidated statements of activities, functional expenses and cash flows for the years then ended, and the related notes to the consolidated financial statements.

In our opinion, based on our audits and the reports of the other auditors, the accompanying consolidated financial statements present fairly, in all material respects, the financial position of the Trust as of June 30, 2025 and 2024, and the changes in its net assets and its cash flows for the years then ended in accordance with accounting principles generally accepted in the United States of America.

We did not audit the consolidated financial statements of the National Trust Community Investment Corporation and Subsidiaries (NTCIC), a wholly-owned subsidiary, whose consolidated financial statements reflect total assets of $19,610,255 and $19,607,144 as of June 30, 2025 and 2024, respectively, and total revenues of $19,196,225 and $15,543,506 for the years then ended. Those consolidated financial statements were audited by other auditors, whose report has been furnished to us, and our opinion, insofar as it relates to the amounts included for NTCIC, is based solely on the report of the other auditors.

Basis for Opinion

We conducted our audits in accordance with auditing standards generally accepted in the United States of America (GAAS). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Consolidated Financial Statements section of our report. We are required to be independent of the Trust and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audits. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Responsibilities of Management for the Consolidated Financial Statements

Management is responsible for the preparation and fair presentation of the consolidated financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the consolidated financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Trust's ability to continue as a going concern within one year after the date that the consolidated financial statements are available to be issued.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the consolidated financial statements.

In performing an audit in accordance with GAAS, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.
- Identify and assess the risks of material misstatement of the consolidated financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the consolidated financial statements.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Trust's internal control. Accordingly, no such opinion is expressed.
- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the consolidated financial statements.
- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the Trust's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Other Matter

Supplementary Information

Our audit was conducted for the purpose of forming an opinion on the consolidated financial statements as a whole. The consolidating schedule of financial position, consolidating schedule of activities, and schedule of activities (parent company only) as of and for the year ended June 30, 2025 are presented for purposes of additional analysis and are not a required part of the consolidated financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the consolidated financial statements. The supplementary information has been subjected to the auditing procedures applied in the audit of the consolidated financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the consolidated financial statements or to the consolidated financial statements themselves, and other additional procedures in accordance with auditing standards generally accepted in the United States of America. In our opinion, the information is fairly stated, in all material respects, in relation to the consolidated financial statements as a whole.

BDO USA, P.C.

December 19, 2025

Consolidated Financial Statements

National Trust for Historic Preservation in the United States and its Subsidiaries and Affiliates

Consolidated Statements of Financial Position

June 30,	2025	2024
Assets		
Current assets:		
Cash and cash equivalents	$ **16,949,402**	$ 18,973,306
Short-term investments (Notes 9 and 10)	**14,862,838**	6,060,036
Accounts receivable	**6,831,964**	10,785,328
Contributions receivable, current (Note 5)	**12,407,390**	55,189,195
Prepaid expenses and other assets	**1,947,267**	2,232,353
Total current assets	**52,998,861**	93,240,218
Noncurrent investments: (Notes 9, 10, and 11)		
Endowments and similar funds	**319,949,101**	306,385,754
Amounts held for others (Note 6)	**19,502,687**	17,779,194
Other investments (Note 7)	**170,205,068**	101,661,502
Total noncurrent investments	**509,656,856**	425,826,450
Contributions receivable, net of current (Note 5)	**3,224,701**	8,274,918
Property and equipment, net (Note 4)	**13,365,742**	13,711,721
Right-of-use asset—operating (Note 12)	**4,902,285**	6,750,922
Other long-term assets	**3,051,518**	3,114,148
Total noncurrent assets	**534,201,102**	457,678,159
Total assets	$ **587,199,963**	$ 550,918,377
Liabilities and Net Assets		
Liabilities		
Current liabilities:		
Accounts payable	$ **24,222,234**	$ 17,561,108
Accrued expenses	**3,875,829**	3,142,003
Refundable advances and deferred revenue, current	**7,565,216**	7,157,412
Lease liabilities—operating leases, current (Note 12)	**2,754,526**	2,970,991
Notes payable, current (Note 13)	**207,748**	1,260,497
Total current liabilities	**38,625,553**	32,092,011
Refundable advances and deferred revenue, net of current	**1,798,640**	2,248,300
Lease liabilities—operating leases, net of current (Note 12)	**6,311,875**	9,063,421
Notes payable, net of current (Note 13)	**6,666,239**	5,760,740
Amounts held for others (Note 6)	**19,502,687**	17,779,194
Other liabilities (Note 7)	**3,086,119**	2,994,147
Total liabilities	**75,991,113**	69,937,813
Commitments and Contingencies (Notes 8 and 17)		
Net assets (Note 14)		
Without donor restrictions	**114,806,967**	112,697,160
With donor restrictions	**396,401,883**	368,283,404
Total net assets	**511,208,850**	480,980,564
Total liabilities and net assets	$ **587,199,963**	$ 550,918,377

See accompanying notes to consolidated financial statements.

National Trust for Historic Preservation in the United States and its Subsidiaries and Affiliates

Consolidated Statement of Activities

Year ended June 30, 2025	Without Donor Restrictions	With Donor Restrictions	Total
Operating revenues, gains, and other support			
Contributions and grant income	$ 24,902,865	$ 55,977,291	$ 80,880,156
Contributions of nonfinancial assets	1,457,676	-	1,457,676
Contract services	26,810,985	-	26,810,985
Investment return	21,725,426	5,706,899	27,432,325
Admissions and special events	6,098,033	-	6,098,033
Program fees and other income	7,785,913	-	7,785,913
Net assets released from restrictions	40,755,145	(40,755,145)	-
Total operating revenues, gains, and other support	129,536,043	20,929,045	150,465,088
Operating expenses			
Program services			
Historic sites	41,213,615	-	41,213,615
Preservation services	55,743,139	-	55,743,139
Education and publications	7,900,865	-	7,900,865
Total program services	104,857,619	-	104,857,619
Support services			
General and administrative	12,949,750	-	12,949,750
Fundraising	7,194,258	-	7,194,258
Membership outreach	3,702,535	-	3,702,535
Total support services	23,846,543	-	23,846,543
Total operating expenses	128,704,162	-	128,704,162
Excess of operating revenues, gains, and other support over operating expenses	831,881	20,929,045	21,760,926
Nonoperating (expense) support			
Investment gains in excess of amounts designated for operations	3,063,182	7,189,434	10,252,616
Provision for income taxes (Note 1q)	(1,785,256)	-	(1,785,256)
Total nonoperating support	1,277,926	7,189,434	8,467,360
Change in net assets	2,109,807	28,118,479	30,228,286
Net assets, beginning of year	112,697,160	368,283,404	480,980,564
Net assets, end of year	$ 114,806,967	$ 396,401,883	$ 511,208,850

See accompanying notes to consolidated financial statements.

National Trust for Historic Preservation in the United States and its Subsidiaries and Affiliates

Consolidated Statement of Activities

Year ended June 30, 2024	Without Donor Restrictions	With Donor Restrictions	Total
Operating revenues, gains, and other support			
Contributions and grant income	$ 25,183,248	$ 66,962,117	$ 92,145,365
Contributions of nonfinancial assets	1,613,347	-	1,613,347
Contract services	22,604,653	-	22,604,653
Investment return	16,307,509	5,545,326	21,852,835
Admissions and special events	5,438,852	-	5,438,852
Program fees and other income	8,180,799	-	8,180,799
Net assets released from restrictions	27,741,795	(27,741,795)	-
Total operating revenues, gains, and other support	107,070,203	44,765,648	151,835,851
Operating expenses			
Program services			
Historic sites	30,220,289	-	30,220,289
Preservation services	48,252,668	-	48,252,668
Education and publications	6,057,304	-	6,057,304
Total program services	84,530,261	-	84,530,261
Support services			
General and administrative	13,268,359	-	13,268,359
Fundraising	6,311,548	-	6,311,548
Membership outreach	4,151,479	-	4,151,479
Total support services	23,731,386	-	23,731,386
Total operating expenses	108,261,647	-	108,261,647
(Deficiency) excess of operating revenues, gains, and other support (under) over operating expenses	(1,191,444)	44,765,648	43,574,204
Nonoperating (expense) support			
Investment (losses) gains in (deficit) excess of amounts designated for operations	(1,359,643)	11,404,409	10,044,766
Provision for income taxes (Note 1q)	(1,300,000)	-	(1,300,000)
Total nonoperating (expense) support	(2,659,643)	11,404,409	8,744,766
Change in net assets	(3,851,087)	56,170,057	52,318,970
Net assets, beginning of year	116,548,247	312,113,347	428,661,594
Net assets, end of year	$ 112,697,160	$ 368,283,404	$ 480,980,564

See accompanying notes to consolidated financial statements.

National Trust for Historic Preservation in the United States
and its Subsidiaries and Affiliates

Consolidated Statement of Functional Expenses

Year ended June 30, 2025	Historic sites	Preservation services	Education and publications	Total program services	General and administrative	Fundraising	Membership outreach	Total support services	Total
Employee costs:									
Salaries	$ 8,922,521	$ 15,169,916	$ 2,178,320	$ 26,270,757	$ 6,091,916	$ 4,204,638	$ 565,734	$ 10,862,288	$ 37,133,045
Payroll taxes and benefits	1,987,625	3,286,540	672,390	5,946,555	1,506,907	918,108	146,229	2,571,244	8,517,799
Total employee costs	10,910,146	18,456,456	2,850,710	32,217,312	7,598,823	5,122,746	711,963	13,433,532	45,650,844
Grants	462,561	24,303,571	35,600	24,801,732	-	-	-	-	24,801,732
Professional services	1,056,921	7,718,868	1,373,126	10,148,915	1,615,859	448,856	710,167	2,774,882	12,923,797
Real estate	12,382,213	-	-	12,382,213	-	-	-	-	12,382,213
Property development	5,080,383	653,315	-	5,733,698	-	-	-	-	5,733,698
Maintenance	4,747,738	107,439	-	4,855,177	20,022	88	-	20,110	4,875,287
Occupancy	1,391,196	1,117,780	317,265	2,826,241	398,084	331,994	99,337	829,415	3,655,656
Printing and media	371,566	394,867	1,032,647	1,799,080	97,195	288,821	789,116	1,175,132	2,974,212
Computer and telecommunications	706,175	766,907	310,479	1,783,561	764,188	160,036	36,253	960,477	2,744,038
Travel	224,205	1,463,201	320,625	2,008,031	372,493	169,784	12,428	554,705	2,562,736
Miscellaneous	1,219,763	24,284	146,889	1,390,936	452,420	94,682	310,028	857,130	2,248,066
Special events	705,775	148,258	769,237	1,623,270	322,614	244,625	492	567,731	2,191,001
Insurance	1,261,056	89,044	393	1,350,493	291,707	-	-	291,707	1,642,200
Postage and delivery	28,249	9,918	213,215	251,382	8,196	266,102	1,013,552	1,287,850	1,539,232
Donated services	48,331	15,000	476,283	539,614	915,572	2,490	-	918,062	1,457,676
Depreciation and amortization	617,337	474,231	54,396	1,145,964	92,577	64,034	19,199	175,810	1,321,774
Total other expenses	30,303,469	37,286,683	5,050,155	72,640,307	5,350,927	2,071,512	2,990,572	10,413,011	83,053,318
Total operating expenses	**$ 41,213,615**	**$ 55,743,139**	**$ 7,900,865**	**$ 104,857,619**	**$ 12,949,750**	**$ 7,194,258**	**$ 3,702,535**	**$ 23,846,543**	**$ 128,704,162**

See accompanying notes to consolidated financial statements.

National Trust for Historic Preservation in the United States
and its Subsidiaries and Affiliates

Consolidated Statement of Functional Expenses

Year ended June 30, 2024	Historic sites	Preservation services	Education and publications	Total program services	General and administrative	Fundraising	Membership outreach	Total support services	Total
Employee costs:									
Salaries	$ 8,099,011	$ 13,050,727	$ 2,269,643	$ 23,419,381	$ 5,666,023	$ 3,660,486	$ 421,139	$ 9,747,648	$ 33,167,029
Payroll taxes and benefits	2,032,161	2,756,780	659,135	5,448,076	1,351,770	565,082	116,284	2,033,136	7,481,212
Total employee costs	10,131,172	15,807,507	2,928,778	28,867,457	7,017,793	4,225,568	537,423	11,780,784	40,648,241
Grants	415,960	22,751,827	157,974	23,325,761	-	-	-	-	23,325,761
Professional services	614,139	4,440,215	293,714	5,348,068	2,466,690	399,004	1,347,667	4,213,361	9,561,429
Real estate	4,999,166	-	-	4,999,166	-	-	-	-	4,999,166
Property development	5,143,686	-	-	5,143,686	-	-	-	-	5,143,686
Maintenance	2,788,516	61,230	-	2,849,746	21,667	-	-	21,667	2,871,413
Occupancy	1,232,809	1,010,040	286,659	2,529,508	406,132	329,711	101,298	837,141	3,366,649
Printing and media	333,760	68,621	619,222	1,021,603	11,660	253,533	928,323	1,193,516	2,215,119
Computer and telecommunications	545,642	747,968	276,812	1,570,422	594,308	135,379	29,156	758,843	2,329,265
Travel	226,364	1,318,356	185,855	1,730,575	340,032	177,475	5,977	523,484	2,254,059
Miscellaneous	1,159,512	1,396,216	110,984	2,666,712	579,851	127,926	113,964	821,741	3,488,453
Special events	798,263	124,052	575,654	1,497,969	308,000	320,976	322	629,298	2,127,267
Insurance	1,163,867	80,529	-	1,244,396	267,325	-	-	267,325	1,511,721
Postage and delivery	39,933	26,949	149,257	216,139	8,162	273,544	1,066,507	1,348,213	1,564,352
Donated services	17,286	28,000	422,553	467,839	1,145,508	-	-	1,145,508	1,613,347
Depreciation and amortization	610,214	391,158	49,842	1,051,214	101,231	68,432	20,842	190,505	1,241,719
Total other expenses	20,089,117	32,445,161	3,128,526	55,662,804	6,250,566	2,085,980	3,614,056	11,950,602	67,613,406
Total operating expenses	$ 30,220,289	$ 48,252,668	$ 6,057,304	$ 84,530,261	$ 13,268,359	$ 6,311,548	$ 4,151,479	$ 23,731,386	$ 108,261,647

See accompanying notes to consolidated financial statements.

National Trust for Historic Preservation in the United States and its Subsidiaries and Affiliates

Consolidated Statements of Cash Flows

Years ended June 30,	2025	2024
Cash flows from operating activities		
Change in net assets	$ 30,228,286	$ 52,318,970
Adjustments to reconcile change in net assets to net cash provided by (used in) operating activities		
Depreciation and amortization	1,321,774	1,241,719
(Gain) loss on disposal of property and equipment	(17,889)	3,823
NTCIC deferred income taxes	228,031	(94,884)
Net realized and unrealized gains on investments	(31,846,049)	(27,191,424)
Contributions restricted for long-term investment	(3,758,908)	(2,671,376)
Investment gains allocated to endowments held for others	1,828,379	1,553,066
Decretion (accretion) of discount on long-term contributions receivable, net	13,095	(86,923)
Allowance for expected credit losses	(130,339)	303,944
Amortization of retained life estates	(449,660)	(449,660)
Non-cash operating lease expense	1,848,637	1,648,530
(Increase) decrease in assets		
Accounts receivable	3,886,151	4,386,219
Contributions receivable	48,016,479	(47,166,615)
Prepaid expenses and other assets	285,086	(810,100)
Other long-term assets	62,630	(2,191,334)
Increase (decrease) in liabilities		
Accounts payable	6,661,126	1,639,643
Accrued expenses	733,826	236,286
Refundable advances and deferred revenue	407,804	1,209,520
Amounts held for others	(104,886)	459,773
Lease liabilities-operating leases	(2,968,011)	(2,698,806)
Other liabilities	(136,059)	32,098
Net cash provided by (used in) operating activities	56,109,503	(18,327,531)
Cash flows from investing activities		
Purchases of investments	(101,811,286)	(24,361,033)
Proceeds from sales of investments	41,024,127	39,807,498
Purchases of property and equipment	(957,906)	(901,161)
Proceeds from sales of property and equipment	-	7,500
Net cash (used in) provided by investing activities	(61,745,065)	14,552,804
Cash flows from financing activities		
Contributions restricted for long-term investment	3,758,908	2,671,376
Proceeds from notes payable	5,055,340	4,564,426
Principal payments on notes payable	(5,202,590)	(6,179,961)
Net cash provided by financing activities	3,611,658	1,055,841
Net decrease in cash and cash equivalents	(2,023,904)	(2,718,886)
Cash and cash equivalents, beginning of the year	18,973,306	21,692,192
Cash and cash equivalents, end of the year	$ 16,949,402	$ 18,973,306
Supplemental cash flow information		
Cash paid for income taxes	$ 1,375,000	$ 925,000
Cash paid for interest	$ 441,294	$ 457,817
Supplemental disclosure of noncash operating activity		
Non-cash operating lease assets and deposits financed through new operating lease liabilities - lease modification	$ -	$ 210,050

See accompanying notes to consolidated financial statements.

1. Summary of Significant Accounting Policies

(a) Organization

The National Trust for Historic Preservation in the United States (the National Trust) and its subsidiaries and affiliates (collectively referred to as the Trust) is a private, non-profit organization chartered by Congress. The Trust's mission is to protect significant places representing diverse cultural experiences by taking direct action and inspiring broad public support.

National Main Street Center, Inc. (NMSC) was established in 2012 as a non-profit organization, with the National Trust as its sole member. It is governed by its own board of directors, bylaws, and operating procedures. NMSC is committed to preservation-based community revitalization of historic commercial and neighborhood districts throughout the United States.

The National Trust Community Investment Corporation (NTCIC) was organized as a wholly-owned for-profit subsidiary of the National Trust in 2000. It is governed by its own board of directors, bylaws, and operating procedures. NTCIC serves as the managing member of a number of limited liability companies that invest in properties that qualify for federal and state historic tax credits, New Markets Tax Credits, and Low-Income Housing Tax Credits. Nearly all of NTCIC's investments are in qualified low-income census tracts. Among other purposes, its certificate of incorporation allows it to provide other similar financial investment services related to the mission of historic preservation in the United States.

National Trust Insurance Services, LLC (NTIS) was formed in 2003 to provide insurance services for the preservation community. NTIS was established to qualify as a licensed insurance producer. NTIS is 99% owned by NTCIC with the remaining ownership interest held by Maury, Donnelly & Parr, Inc. who acts as the agent for NTIS and markets and fulfills all insurance products as an experienced insurance producer.

National Trust Tours, LLC (NTT), formerly known as Heritage Travel, LLC, was formed in 2008 and is wholly-owned and governed by NTCIC to provide and promote services related to heritage travel.

NT Solar, Inc. (NTS) was organized as a wholly-owned, for-profit subsidiary of NTCIC and was incorporated in 2014. NTS was established to participate in the financing, directly or indirectly, of renewable energy transactions for which investment tax credits are being utilized.

National Trust Historic Real Estate Debt Fund, LLC (NTHREDF) was formed in 2016. NTHREDF was established to provide debt investment services and products for historic real estate under management by NTCIC, but with majority ownership by the National Trust. As of June 30, 2025, the entity has no operating activity, and there is no operating agreement established with NTCIC.

Cooper-Molera Preservation LLC (CMP LLC) is a joint venture between the National Trust and FHP Adobe LLC (FHP). CMP LLC was established in 2016 to further the rehabilitation, reuse, and historic preservation of Cooper-Molera Adobe, an important historic site located in downtown Monterey, California. The National Trust is a 98% equity partner as of June 30, 2025 and 2024, respectively. FHP is an affiliate of Foothill Partners. Foothill Partners is the managing partner who maintains the books and records on behalf of CMP LLC.

Greenrock Corporation (Greenrock) is a wholly-owned, for-profit subsidiary of the National Trust. Greenrock provides building and grounds maintenance, and security services and oversees construction of capital improvements and special projects for the Pocantico estate (former home of the Rockefeller family) owned by the National Trust. Greenrock is located in Tarrytown, New York. Greenrock was a bequest to the National Trust by the estate of Greenrock's deceased former owner in 2017. The Trust became the sole owner of Greenrock on July 15, 2018.

NT Green Fund, Inc. d/b/a RePurpose Capital (RPC) was established in 2024 as a non-profit organization, with the National Trust as its sole member. RPC is governed by its own board of directors, bylaws, and operating procedures. RPC is an emerging community development financial institution (CDFI) deploying loan funds in economically marginalized places throughout the U.S. Its mission is to reinvest in economically distressed places by providing financing and capacity-building resources to reactivate places and improve opportunity, local economies, and health.

(b) Basis of Accounting

The accompanying consolidated financial statements are presented in accordance with the accrual basis of accounting in conformity with accounting principles generally accepted in the United States of America (U.S. GAAP), whereby support and revenue are recognized when earned and expenses are recognized when incurred.

(c) Basis of Presentation

The accompanying consolidated financial statements present the consolidated financial position and changes in net assets of the Trust. All significant inter-organizational accounts and transactions have been eliminated in consolidation.

Net assets and revenues, gains, and losses are classified based on the existence or absence of donor-imposed restrictions. Accordingly, net assets of the Trust are classified and reported as follows:

Net Assets Without Donor Restrictions

Net assets without donor restrictions are not subject to donor-imposed stipulations. Gains and losses on investments are reported as increases or decreases in net assets without donor restrictions unless their use is restricted by explicit donor stipulations or by law. Revenues from sources other than restricted contributions and investment income are reported as increases in net assets without donor restrictions. Expenses charged to programs without restrictions are reported as decreases in net assets without donor restrictions.

Net Assets With Donor Restrictions

Net assets with donor restrictions are subject to donor-imposed restrictions. Some donor-imposed restrictions are temporary in nature, such as those that will be met by the passage of time or other events specified by the donor. Other donor-imposed restrictions are perpetual in nature, where the donor stipulates those resources be maintained in perpetuity. Gifts of long-lived assets and gifts of cash restricted for the acquisition of long-lived assets are recognized as revenue when the assets are placed in service. Donor-imposed restrictions are released when a restriction expires, that is, when the stipulated time has elapsed, when the stipulated purpose for which the resource was restricted has been fulfilled, or both.

(d) Recent Accounting Pronouncements Not Yet Adopted

In March 2022, the Financial Accounting Standards Board (FASB) issued Accounting Standards Update (ASU) 2022-03, *Fair Value Measurement of Equity Securities Subject to Contractual Sale Restrictions (Topic 820)*. The amendments clarify that a contractual restriction on the sale of an equity security is not considered part of the unit of account of the equity security and, therefore, is not considered in measuring fair value. The amendments also clarify that an entity cannot, as a separate unit of account, recognize and measure a contractual sale restriction. This amendment also requires the following disclosures for equity securities subject to contractual sale restrictions: (1) The fair value of equity securities subject to contractual sale restrictions reflected in the balance sheet; (2) The nature and remaining duration of the restriction(s); and (3) The circumstances that could cause a lapse in the restriction(s). Early adoption is permitted, and the updates should be applied prospectively with any adjustments from the adoption of the amendments recognized in the change in net assets and disclosed on the date of adoption. For all non-public entities, this ASU is effective for fiscal years beginning after December 15, 2025. The Trust continues to evaluate the effect that adoption of this new standard will have on the Trust's consolidated financial statements.

In December 2023, the FASB issued ASU 2023-09, *Income Taxes (Topic 740), Improvements to Income Tax Disclosures*. The ASU requires organizations to provide additional, disaggregated disclosures for income taxes related amounts. Certain other disclosure requirements were eliminated. This update is effective for annual periods beginning after December 15, 2025. The Trust continues to evaluate the potential impact of this ASU.

In July 2025, the FASB issued ASU 2025-05, *Financial Instruments—Credit Losses (Topic 326): Measurement of Credit Losses for Accounts Receivable and Contract Assets*. The amendments in this ASU addresses challenges encountered when applying the guidance in Topic 326 to current accounts receivable and current contract assets arising from transactions accounted for under Topic 606, *Revenue from Contracts with Customers*. The amendments in this ASU provide (1) all entities with a practical expedient and (2) entities other than public business entities with an accounting policy election when estimating expected credit losses for current accounts receivable and current contract assets arising from transactions accounted for under Topic 606. The practical expedient permits all entities to assume that current conditions as of the statement of financial position date do not change for the remaining life of the asset. The accounting policy election permits the entity to consider collection activity after the statement of financial position date when estimating expected credit losses. The amendments are effective, on a prospective basis, for annual reporting periods beginning after December 15, 2025, with early adoption permitted. The Trust is currently evaluating the impact of this ASU on the consolidated financial statements.

(e) Accounting for Historic Sites

Historic Sites Owned by the Trust

The Trust owns certain historic sites that are operated as museums or are otherwise integral to the Trust's preservation programs and are either managed by the Trust or are managed for the Trust by other non-profit preservation organizations or other groups under various cooperative arrangements. Sites identified in italics below are managed by other entities.

Historic Sites Open to the Public

Belle Grove, Middletown, Virginia	*Brucemore, Cedar Rapids, Iowa*
Chesterwood, Stockbridge, Massachusetts	*Cliveden, Philadelphia, Pennsylvania*
Cooper-Molera Adobe, Monterey, California	*Decatur House, Washington, District of Columbia*
Drayton Hall, Charleston, South Carolina	Edith Farnsworth House, Plano, Illinois
Filoli, Woodside, California	*The Gaylord Building, Lockport, Illinois*
The Glass House, New Canaan, Connecticut	*James Madison's Montpelier, Orange, Virginia*
Kykuit, Tarrytown, New York	Lyndhurst, Tarrytown, New York
Oatlands Historic House and Gardens, Leesburg, Virginia	Pope-Leighey House, Alexandria, Virginia
President Lincoln's Cottage, Washington, District of Columbia	The President Woodrow Wilson House, Washington, District of Columbia
The Shadows, New Iberia, Louisiana	*Villa Finale, San Antonio, Texas*
Woodlawn, Alexandria, Virginia	

On December 22, 2017, the Trust received a gift of Thornton Gardens, a historic site in San Marino, California, subject to a life estate of the donors. Due to the existence of the life estate, the site is not currently open to the public.

The National Trust and Oatlands, Inc. were parties to an amended and restated cooperative agreement, an amended and restated lease, and an amended and restated loan agreement, dated April 15, 2019 (the co-stewardship agreements), which provided for Oatlands, Inc. to manage and operate Oatlands Historic House and Gardens as a National Trust historic site. On September 20, 2023, the National Trust terminated the co-stewardship agreements with Oatlands, Inc. The National Trust and Oatlands, Inc. facilitated the transition of the management of Oatlands Historic House and Gardens back to the National Trust utilizing a license agreement dated September 28, 2023.

Accounting Practice for Trust-Owned Property and Other Collections

The Trust's museum collection includes historic sites, structures, landscapes and objects that are available to the public or held for that purpose. It acquires its collections by purchase or by donation. The Trust's *Collections Management Policy* includes guidance on the documentation, preservation, care, and management of the collections and procedures related to the accession and deaccession of collections items.

In conformity with the practice generally followed by museums, no value is assigned to the collections in the consolidated statements of financial position. The historic sites, including objects and furnishings, owned by the Trust with the intent of retention are not reported in the accompanying consolidated statements of financial position. Purchases of collection items are recognized as reductions in net assets without donor restrictions in the period of acquisition. Per the Trust's *Collections Management Policy* and following professional standards and guidelines, proceeds from deaccessions of collection items are designated for the replenishment or care of other objects within the museum collection and the preservation of historic structures or historic landscape features that are part of the Historic Structures and Landscapes Collection. Expenditures for restoration, stabilization, reconstruction, and development are charged to expense as incurred.

Property the Trust May Own with Intent of Sale

Certain non-collection properties may be held with the intent for future sale. Properties accepted with the intent of sale are recognized as revenue at the time of receipt at the then estimated fair value less protected costs for historic evaluation, repair, maintenance, and the impact of the easement on the fair value. Upon sale, the Trust ensures the preservation of these historic properties by imposing perpetual preservation easements, where appropriate. Historic properties held with the intent of sale have been acquired by the Trust through outright gifts, bequests, gifts with retained life estates, purchases, or other means. Properties with a retained life estate are recorded as other investments and operated as non-collection real estate until the sale is executed.

(f) Cash and Cash Equivalents

Cash and cash equivalents consist of cash and amounts invested in money market accounts. Cash equivalents held in investment accounts are excluded as they are considered to be held for long-term purposes. As of June 30, 2025 and 2024, the Trust's cash accounts held $13,873,059 and $15,269,464, respectively, in excess of federally-insured limits.

(g) Accounts Receivable and Allowance for Credit Losses

Accounts receivable consist primarily of amounts due from government grants, fundraising events, customers and lessees, income taxes, acquisition fees, and asset and fund management fees.

Receivables are carried at original invoice amounts net of an allowance for credit losses. Such allowance is based on credit losses expected to arise over the contractual term of the assets and based on the expectation as of the financial position date. Receivables are written off when deemed uncollectible. Write-offs are recognized as a deduction from the allowance for credit losses.

(h) Contributions Receivable

Unconditional promises to give are recorded as contributions receivable and contribution revenue in the period in which the Trust is notified by the donor of a commitment to make a contribution. Conditional promises to give are recognized when the conditions on which they depend are substantially met. Contributions to be received after one year are discounted at an appropriate discount rate commensurate with the risks involved. Contributions receivable are recorded at net present value. An allowance for uncollectible contributions is based upon management's judgment and analysis of the creditworthiness of the donors, past collection experience, and other relevant factors. At June 30, 2025 and 2024, approximately 63% and 91% of net contributions receivable was attributable to four donors, respectively.

(i) Endowment Investments

Endowment assets consist of board-designated endowment funds and endowment funds with donor restrictions. The Investments Committee monitors and approves all changes to the investment of these funds. Investments are reported at fair value. Income from interest and dividends is recognized as investment income and realized and unrealized gains and losses, net of board-authorized spending designated for operations, are reported as nonoperating support.

(j) Other Investments

Other investments consist of irrevocable retained life estates of non-collection real estate, short-term investments, and split-interest agreements.

The Trust is the beneficiary of irrevocable retained life estates wherein the Trust has a remainder interest in donated property. The donor has the right to live in the property until death at which time the Trust takes possession of the property. In the year of the gift, revenue is recognized for the assessed fair value of the property, with or without donor restrictions based on donors' intentions, and is included in contribution revenue. Based on donors' intentions, contributions receivable may be reduced instead. Assets and the related liabilities are stated at fair value and the liabilities are included in refundable advances and deferred revenue on the consolidated statements of financial position.

Short-term investments are invested in treasury instruments and certificates of deposit and are reported at fair value.

The Trust is also the beneficiary in various split-interest agreements with donors primarily consisting of charitable gift annuities and irrevocable charitable remainder unitrusts. In the year of the gift of charitable gift annuities and irrevocable charitable remainder unitrusts for which the Trust serves as the trustee (the agreements), the Trust recognizes contribution revenue on the net amount of assets received and liabilities assumed on the agreements, either with donor restrictions or without donor restrictions, based on donors' intentions. Assets held under the agreements are stated at fair value.

The Trust pays a variable annuity amount equal to the specified percentage of the fair value of assets on the date of payment to the donors or the donors' designees for the remainder of their lives. The discount rate is based on rates commensurate with the expected remaining life of donors or donors' designees and was 3.375% at both June 30, 2025 and 2024, respectively. The liability under these agreements is recognized at the present value of estimated future payments based on actuarial assumptions provided in the 2012 Individual Annuity Reserve Mortality Table and is included in other liabilities in the consolidated statements of financial position. Adjustments to the liability to reflect changes in actuarial assumptions and amortization of discount are recognized in contributions and grant income in the consolidated statements of activities.

The Trust is also named as a beneficiary of the remaining assets of irrevocable charitable remainder unitrusts whose trust funds are managed by third parties. In the year of the gift, revenue is recognized for the fair value of the Trust's beneficial interest in the trust funds, with or without donor restrictions based on donors' intentions and is included in contribution revenue. Assets are stated at fair value. The related liabilities are the responsibility of the third-party manager and are not recorded in the Trust's consolidated financial statements.

(k) Property and Equipment

All property and equipment are capitalized at their historical cost. The Trust capitalizes all property and equipment purchased with a cost of $10,000 or more.

Depreciation of equipment and vehicles and amortization of computer software is calculated on the straight-line basis over estimated useful lives of three-to-10 years. The leasehold improvements and fixtures for the Watergate building are amortized over the lesser of the 15-year term of the lease, or the estimated useful life of the leasehold improvements using the straight-line basis. Costs associated with renovation and construction projects at historic sites, which are not part of the historic site, are capitalized and depreciated over 20-to-30 years using the straight-line basis once the project has been placed in service. Land is not depreciated or amortized.

(l) Leases

A contract is or contains a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. The Trust determines if an arrangement is or contains a lease at inception. The Trust does not apply the recognition requirements under FASB Accounting Standards Codification (ASC) Topic 842, *Leases,* to short-term leases. Leases with an initial term of 12 months or less are not recorded in the consolidated statements of financial position. The lease term is the non-cancelable period of the lease, including any options to extend, purchase or terminate the lease when it is reasonably certain that the Trust will exercise that option.

Right-of-use (ROU) assets represent the Trust’s right to use an underlying asset for the lease term and lease liabilities represent the Trust’s obligation to make lease payments arising from the lease. ROU assets and liabilities are recognized at lease commencement date based on the present value of lease payments over the lease term, calculated using a rate of return selected based on the term of the lease. As an implicit rate for most leases is not determinable, the Trust made an accounting policy election to use a risk-free discount rate as a practical expedient in lieu of its incremental borrowing rate when assessing lease classification and when measuring its lease liabilities. The lease payments for the initial measurement of lease ROU assets and lease liabilities include fixed payments only. The Trust has elected the practical expedient to account for each separate lease component of a contract and its associated non-lease components as a single lease payment for all leases, except real estate leases, and to utilize the written terms and conditions of a lease between entities under common control for purposes of assessing whether a lease exists and the classification of and accounting for that lease. For real estate leases, non-lease components are separated from lease components for accounting purposes. The right-of-use asset is amortized over the shorter of the lease term or the economic life of the leased asset. Rent expense is recognized on a straight-line basis over the operating lease term and included as occupancy costs in the accompanying consolidated statements of functional expenses.

(m) Impairment of Long-Lived Assets

The Trust reviews asset carrying amounts periodically in addition to whenever events or circumstances indicate that such carrying amounts may not be recoverable. When considered impaired, the carrying amount of the asset is reduced to its current fair value and charged to the consolidated statements of activities. No impairment loss has been recognized at June 30, 2025 and 2024.

(n) Refundable Advances and Deferred Revenue

The Trust recognizes revenue from conditional grants as conditions are met. When cash is received before conditions are met, a refundable advance is recorded as a liability and shown in the consolidated statements of financial position. Deferred revenue consists of use obligations which are based on the actuarial life expectancy of the donor related to irrevocable retained life estates (see Note 1j), which totaled $2,248,300 and $2,697,960 as of June 30, 2025 and 2024, respectively. Adjustments to deferred revenue to reflect changes in actuarial assumptions and amortization of discount are recognized in contributions and grant income in the consolidated statements of activities.

(o) Measure of Operations

The Trust defines operations as all revenues and expenses that are an integral part of its current year programs and supporting activities. Nonoperating support includes investment return in excess of the Trust's aggregate board-authorized spending rate, if any.

The Trust's authorized spending rate was 4.75% for restricted endowment funds, endowment funds without donor restriction, and the two general Historic Sites Funds for the years ended June 30, 2025 and 2024.

(p) Functional Allocation of Expenses

The costs of providing various programs and support activities have been summarized on a functional basis in the consolidated statements of activities. Direct expenses are charged to the respective program or supporting activity. Certain costs have been allocated among the programs and support services benefited based upon management's estimate of each program's share of the allocated costs. The method of allocation is listed below.

Expense	Method of Allocation
Benefits	Actual fringe benefit rate
Occupancy	Full time equivalent employee headcount
Depreciation	Full time equivalent employee headcount
Equipment and computer supplies	Full time equivalent employee headcount

(q) Income Taxes

The Trust accounts for uncertain tax positions in accordance with FASB ASC 740, *Income Taxes* (ASC 740), which requires that an income tax position be recognized or derecognized based on a "more likely than not" threshold. This applies to positions taken or expected to be taken in an income tax return. The Trust does not believe its consolidated financial statements include any material uncertain tax positions. The Trust is still open to examination by taxing authorities from fiscal year ended June 30, 2022 forward.

The National Trust, NMSC, and RPC are Section 501(c)(3) organizations exempt from income taxes as provided under Section 501(a) of the Internal Revenue Code (the IRC). Unrelated business taxable income is subject to income tax.

NTT, a single member limited liability company, is a disregarded entity of NTCIC under the IRC and operating activity from NTT flows to NTCIC.

NTIS, NTHREDF and CMP LLC are treated as partnerships under the IRC. Accordingly, the members of these limited liability companies are taxed on their proportionate share of NTIS's, NTHREDF's, and CMP LLC's taxable income, respectively.

NTCIC, NTS, and Greenrock operate as private entities and are subject to federal and state income taxes. They account for income taxes under the asset and liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to the differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax bases and operating loss and tax credit carryforwards.

The components of the provision for income taxes for NTCIC and Greenrock, included in nonoperating support (expense) in the consolidated statements of activities for the years ended June 30, 2025 and 2024 are as follows:

June 30,	**2025**	2024
Current:		
Federal	**$ 1,231,115**	$ 947,574
Investment tax credits	**(534,154)**	(427,833)
State and local	**457,661**	355,000
Total current tax expense	**1,154,622**	874,741
Deferred:		
Federal	**630,634**	425,259
Provision for income taxes	**$ 1,785,256**	$ 1,300,000

The Trust uses the flow-through method to account for investment tax credits allocated to the Trust from its equity investments in certain operating entities. Under this method, the investment tax credits are recognized as a reduction to the provision for income taxes in the year they are utilized.

Deferred tax assets and liabilities are adjusted for the effect of changes in tax laws and rates on the date of enactment and they are included with other liabilities in the accompanying statements of financial position. The components of NTCIC's deferred income taxes as of June 30, 2025 and 2024 are as follows:

June 30,	2025	2024
Deferred income	**$ 273,869**	$ 260,021
Unrealized gain on equity securities	**(128,696)**	(64,081)
Investments in investment entities	**485,753**	266,610
IRC Section 50(d) income	**(1,076,296)**	(657,900)
Other	**129,849**	118,863
ROU Asset	**181,823**	241,117
ROU Liability	**(174,437)**	(234,679)
Deferred tax liability	**$ (308,135)**	$ (70,049)

Greenrock had approximately $431,000 and $428,000 in deferred tax assets as of December 31, 2024 and 2023, respectively. Deferred tax assets are related to net operating loss carryforwards that can be used to offset taxable income in future periods and reduce income taxes payable in those future periods. Total net operating losses carried forward totaled $2,052,178 and $2,036,590 as of December 31, 2024 and 2023, respectively. The net operating losses can be carried forward indefinitely until utilized. Greenrock establishes a valuation allowance when they no longer consider it more likely than not that a deferred tax asset will be realized. As of each reporting date, Greenrock's management considers new evidence, both positive and negative, that could impact management's view with regard to future realization of deferred tax assets. A full valuation allowance was recorded against Greenrock's deferred taxes. Management reviewed Greenrock's deferred taxes and related valuation allowance as of June 30, 2025 and 2024, noting no material change from Greenrock's calendar year presentation.

(r) Revenue Recognition

Contributions and Grant Income

Contributions, including unconditional promises to give, are recognized as revenue in the period received or when the pledge is made. Conditional promises to give are not recognized until the conditions on which they depend are substantially met. (see Note 5).

Grants awarded by federal sponsors, which are generally considered nonreciprocal transactions restricted by sponsors for certain purposes, are recognized as revenue when qualifying reimbursable expenses have been incurred and conditions under the agreements are met. The Trust has elected the simultaneous release policy for donor-restricted contributions that were initially conditional contributions, which allows a not-for-profit organization to recognize a restricted contribution directly in net assets without donor restrictions if the restriction is met in the same period that the revenue is recognized. Revenue is recognized as costs are incurred.

National Trust membership revenue is recognized when received as the receipt is solicited as and is considered a contribution and is recognized immediately. National Trust programs are made available to both members and non-members, and as such, there is no exchange of commensurate value in its memberships.

Contributions of Nonfinancial Assets

During the years ended June 30, 2025 and 2024, contributions of nonfinancial assets recognized in the consolidated statements of activities, none of which had donor-imposed restrictions include the following:

June 30,	**2025**	2024
Professional services	**$ 943,828**	$1,154,355
Public service announcements	**476,283**	422,553
Other	**37,565**	36,439
Contributions of nonfinancial assets	**$1,457,676**	$1,613,347

Professional services are comprised of attorneys who advise the Trust on various legal matters and other professional services. Public service announcements are comprised of messages shared with the general public that raise awareness of the mission of the Trust. For all services, the Trust valued and reported the contributed services at the estimated fair value based on current rates for similar services.

Contract Services

In accordance with FASB ASU 2014-09, *Revenue from Contracts with Customers (Topic 606)*, the Trust recognizes contract services revenue when it satisfies its performance obligation(s) by performing services for a customer. The amount of revenue recognized reflects the consideration the Trust expects to receive in exchange for satisfying distinct performance obligations. If a performance obligation does not meet the criteria to be considered distinct, the Trust combines it with other performance obligations until a distinct bundle of services exists.

Amounts received in advance of services performed, but not yet earned, are held and recorded as deferred revenue. The Trust expects that the period between the Trust’s transfer of services to its customers and when the customers pay for those services will be one year or less or paid upfront. Therefore, the Trust has elected the practical expedient not to adjust the promised amount of consideration for the effects of a significant financing component.

Acquisition fee income is generated from contracts with investors or project sponsors for services provided in conjunction with the selection, structuring, underwriting, and project closing of investment transactions. Acquisition fees are negotiated at the time of the contract and invoiced based on contractual terms. Acquisition fee revenue is recognized at a point in time at the financial closing of each transaction.

Fund management and asset management fee income are generated from contracts with investors or project sponsors for services provided in conjunction with the ongoing programmatic compliance oversight of investment transactions. Fund management and asset management fees are negotiated at the time of the contract and invoiced based on contractual terms. Fund and asset management fee income is recognized over time using time as a measure of progress in satisfaction of the series of distinct services included in the contractual performance obligations.

Client fees include amounts paid by customers for maintenance services and are invoiced in monthly installments based on actual time and materials for the month. Revenue from client fees is recognized over time using time as a measure of progress in satisfaction of the series of distinct services included in the contractual performance obligations.

Other contract services revenue includes educational services to local nonprofit revitalization organizations and consulting, planning, and training services to assist communities with the revitalization of their traditional commercial districts. Contract services fees are negotiated at the time of the contract and invoiced based on contractual terms. Revenue from services is recognized over time using the input method based on the Trust's level of effort over time relative to the total estimated level of effort of the project.

The composition of contract services revenue is as follows as of:

June 30,	2025	2024
Acquisition fee income	$ 9,375,139	$ 7,153,082
Fund management and asset management fee income	7,654,748	6,223,840
Client fees	6,036,153	5,426,328
Other contract services revenue	3,744,945	3,801,403
Total contract services revenue	$ 26,810,985	$ 22,604,653

Investment Return

Investment return is reported as increases or decreases in net assets without donor restrictions unless its use is limited by donor-imposed stipulations whereby it is reported as a change in net assets with donor restrictions. Income from interest and dividends and unrealized and realized gains and losses representing board-approved spending designated for operations is recorded in investment return in the consolidated statements of activities, net of investment expenses.

Admissions and Special Events

Admissions and special events revenue include revenue from admissions to Trust-operated historic sites, the exchange portion (fair market value) of special events held at historic sites, special property usage of historic sites, and registration fees and sponsorships from annual conferences.

Revenue from admissions and special events at historic sites managed by the Trust, which help to educate the public about historic preservation, is recognized at a point in time as the individual receives the benefit of admission at the historic site or event.

Conference registration revenue includes amounts paid by conference participants and sponsors. Registration fees are based on published fixed rates and are collected either at the time of registration, in advance of the conference, course or workshop resulting in a deferred revenue balance, or at the time that the conference, course or workshop takes place and immediately recognized as revenue. Conference registration revenue is recognized in the period the events are conducted.

Conference sponsorships, which are generally considered nonreciprocal transactions, are recognized when the conditions associated with providing the sponsorship are met at the conference. As such, all conference revenue is recognized upon completion of the annual conference. Conference sponsorship revenue was $642,848 and $605,024 for the years ended June 30, 2025 and 2024, respectively.

Program Fees and Other Income

Program fees and other income consist of the following types of revenue:

Revenue from NMSC membership dues is invoiced based on fixed rate schedules at the beginning of the individual member's membership year, which creates a deferred revenue balance upon collection. Revenue is recognized on a pro rata basis over the individual member's membership year as commensurate value is provided. Membership dues received for membership periods subsequent to year end or associated with unsatisfied performance obligations are recorded as deferred revenue.

Rental income is recognized on a straight-line basis over the period relating to the rental of buildings at the Trust's historic sites and other buildings owned by the Trust to staff and other unrelated parties for business or office usage or housing.

Commission income is considered earned when specified events have taken place and/or the Trust's obligations have been met, most notably commission income equaling 8.0% and 12.5% is earned on the sale of insurance products by NTIS for the years ended June 30, 2025 and 2024, respectively.

Revenue from merchandise sales is primarily earned at the Trust's historic sites, which operate gift shops that sell books and merchandise that reflect the site's history and architecture and the field of historic preservation. The shops further the educational and interpretive missions of the historic sites and of the Trust. Revenue is recognized at a point in time when the historic site delivers the physical product to the customer, as the customer receives the benefit when the item is purchased at the store or online.

Royalty revenue consists primarily of revenues resulting from various third-party trademark licensing agreements for the use of the Trust's name on certain commercial products and marketing arrangements, primarily from affinity credit card programs. Contracts with customers for the licensing of intangible property rights are considered under specific licensing guidance and the right to use the Trust's name is satisfied at a point in time based on activity generated by the program.

Advertising revenue consists primarily of revenue from the sale of advertisements in the "Preservation" magazine and on the Trust's website. The Trust recognizes revenue at a point in time in an amount equal to the amount the Trust has the right to invoice when the advertisement appears in the publication or when the impressions on the Trust's website are made available as the customer purchasing the advertising receives the benefit when the publication is distributed to recipients.

Miscellaneous and other revenue is received and recognized when the goods and services are rendered and typically occur in the same fiscal year.

The composition of program fees and other income revenue is as follows as of:

June 30,	**2025**	2024
Commission income	**$ 2,012,012**	$ 2,338,880
Rental income	**2,269,334**	2,407,238
NMSC membership dues	**912,042**	813,074
Merchandise sales	**754,339**	778,586
Advertising revenue	**435,562**	489,833
Royalty revenue	**194,170**	244,740
Miscellaneous and other revenue	**1,208,454**	1,108,448
Total program fees and other income	**$ 7,785,913**	$ 8,180,799

(s) *Guarantees*

In accordance with FASB ASC 460, *Guarantees*, for all guarantees entered into after January 1, 2003, the Trust's obligation under the guarantee agreement (see Note 8) is estimated at the face value of the underlying debt agreement.

(t) *Joint Costs*

In accordance with FASB ASC 958-720-50-2, *Not-For-Profit Entities – Other Expenses – Disclosure – Accounting for Costs of Activities That Include Fundraising*, the Trust allocates costs between fundraising and programmatic expenses where such joint costs serve education, advocacy, or other programmatic purposes in addition to fundraising. During the years ended June 30, 2025 and 2024, all costs were charged to fundraising as there were no calls to action which is required to allocate costs in accordance with the applicable guidance.

(u) Investments in Operating Entities

NTCIC accounts for its investments in various operating entities (the Investment Entities) under the equity method. Under the equity method, the investments are recorded at cost and adjusted for NTCIC's share of income or loss of the Investment Entities, additional investments, and cash distributions from the Investment Entities. Since NTCIC has no obligation to fund liabilities of the Investment Entities beyond its investments, including loans and advances, investments in the Investment Entities may not be reduced below zero. To the extent that equity losses are incurred when NTCIC's carrying values of its investments in the Investment Entities have reached a zero balance, any losses will be suspended to be used against future income.

NTCIC has determined that the Investment Entities are variable interest entities and NTCIC is not the primary beneficiary. As a result, NTCIC is not required to consolidate its investments in the Investment Entities. This conclusion was based on the determination that NTCIC does not have the power to direct the activities that most significantly impact the Investment Entities economic performance.

(v) Investment Risks and Uncertainties

The Trust's invested assets consist of money market funds, short-term fixed income, marketable and nonmarketable equity, and debt securities. These investment assets are exposed to interest rate, market, and credit risk. Due to the level of uncertainty related to changes in interest rate, market volatility, and credit risk, it is at least reasonably possible that changes in these risks could materially affect the fair value of investments reported in the consolidated statements of financial position. However, the diversification of the Trust's investment assets among these various asset classes is designed to mitigate the impact of any dramatic change on any one investment asset class.

(w) Estimates

The preparation of the consolidated financial statements in conformity with U.S. GAAP requires the Trust to make estimates and assumptions that affect the reported amounts of assets and liabilities of the consolidated financial statements and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

2. Description of Program and Support Services

Descriptions of the program and support services in the accompanying consolidated financial statements are as follows:

Historic Sites – Preserve and manage for public benefit the Trust's property, real and personal; encourage an understanding of historic preservation and history through site-based educational programs; administer networks of historic sites that collaborate on preservation issues with the Trust; and review any potential acquisition opportunities for new historic sites.

Preservation Services – Provide direct action to save historic places that are either nationally significant or the preservation of which will have national implications and undertake deep, sustained effort on nationally important preservation priorities focusing on diversity, equity, inclusion, and accessibility.

Within the preservation category, the law and preservation divisions advocate national historic preservation policy positions before government agencies, Congress, and state and local legislative bodies, and in courts of law (both as a party litigant and as a friend of the court); conduct research on public policy issues relating to historic preservation; administer preservation easements on sites nationwide; and provide professional expertise on the protection of historic resources and educational materials to the legal and preservation communities.

Education and Publications – The education division encourages an understanding of historic preservation through conferences and seminars, communications, training, internships, merchandising, public service announcements, and preservation-related products.

The publications division educates, fosters knowledge, stimulates interest, and facilitates participation in public and private historic preservation through the printing and publication of the Trust's general materials, newsletters, professional journals, and magazines.

General and Administrative – Includes the functions necessary to maintain an equitable employment program; ensures an adequate working environment; provides general management, coordination, and articulation of the Trust's programs and operations; secures proper administrative functioning of the Board of Trustees and Board of Advisors; provides legal counsel; manages the Trust's information technology requirements; and manages the financial, endowment, and budgetary responsibilities of the Trust.

Fundraising – Provides the structure necessary to encourage and secure financial support from individuals, foundations, corporations, and other grant makers.

Membership Outreach – Educates the general public on the value of and techniques for preserving our nation's architectural and cultural heritage and develops membership.

3. Liquidity and Availability

Financial assets available for general expenditure, that is, without donor or other restrictions limiting their use, within one year comprise the following:

June 30,	**2025**	2024
Cash and cash equivalents, unrestricted	**$ 11,306,213**	$ 13,393,880
Short-term investments	**14,862,838**	6,060,036
Accounts receivable	**6,831,964**	10,785,328
Contributions receivable, current, without donor restrictions	**2,083,441**	2,106,320
Financial assets available to meet cash needs for general expenditures within one year	**$ 35,084,456**	$ 32,345,564

The Trust has net assets with donor restrictions of $396,401,883 and $368,283,404 as of June 30, 2025 and 2024, respectively. Donor-restricted endowment funds and unspent donor-restricted gifts are not available for general use.

The Trust has board-designated quasi-endowments which include $85,057,773 and $81,981,354 of net assets without donor restrictions subject to a board-imposed annual spending rate of 4.75% as of June 30, 2025 and 2024. Although the Trust does not intend to spend from board-designated quasi-endowment funds, these amounts could be made available by board action, if necessary.

Cash and cash equivalents and investments are subject to certain guarantees. See Note 8 for additional information on guarantees and Note 13 for additional information on outstanding notes payable.

Liquidity Management

The Trust maintains a policy of structuring its financial assets to be available as its general expenditures, liabilities, and other obligations come due. In addition, to help manage daily liquidity needs, the Trust has a line-of-credit facility with borrowing availability up to $7.5 million with Bank of America. See Note 13 for additional information related to the line-of-credit.

4. Property and Equipment

Property and equipment comprised the following as of:

June 30,		**2025**		2024
Land	**$**	**133,000**	$	133,000
Buildings and improvements		**18,262,446**		18,026,613
Leasehold improvements		**3,344,302**		3,344,302
Furniture and equipment		**3,238,469**		3,120,596
Computer equipment		**4,281,827**		3,818,526
		29,260,044		28,443,037
Less: accumulated depreciation and amortization		**(15,894,302)**		(14,731,316)
Total	**$**	**13,365,742**	$	13,711,721

5. Contributions Receivable

Contributions receivable are summarized as follows as of:

June 30,		**2025**		2024
Unconditional promises to give expected to be collected in:				
Less than one year	**$**	**12,407,390**	$	55,189,195
One to five years		**3,314,660**		8,749,333
More than five years		**200,000**		-
		15,922,050		63,938,528
Less:				
Allowances for uncollectible pledges		**(109,069)**		(306,620)
Unamortized discount		**(180,890)**		(167,795)
		15,632,091		63,464,113
Less: current contributions receivable		**(12,407,390)**		(55,189,195)
Contributions receivable, net of current	**$**	**3,224,701**	$	8,274,918

The discount rates used to calculate the present value of contributions receivable range from 1.34% to 4.37% and from 1.34% to 4.96% as of June 30, 2025 and 2024, respectively. During the years ended June 30, 2025 and 2024, the Trust recognized $(13,095) and $86,923 of net (negative) positive accretion income, respectively, on discounts relating to contributions receivable.

Commitments from donors for conditional promises to give totaled $2,195,000 and $1,150,000 at June 30, 2025 and 2024, respectively, including letters of intent and conditional promises for existing programs totaled $1,475,000 and $1,150,000, respectively, and gifts with matching requirements totaled $720,000 and $0, respectively. Gifts with matching requirements will be accrued in future periods as the conditions for revenue recognition are met. At June 30, 2025 and 2024, the Trust also had $1,609,118 and $834,594, respectively, in conditional promises for which it has not yet satisfied the donor's conditions.

At June 30, 2025 and 2024, the Trust had remaining available award balances on federal grants and contracts of $1,245,513 and $7,210,669, respectively. These award balances are not recognized as assets and will be recognized as revenue as the project progress and conditions are met, generally as expenses are incurred.

6. Amounts Held for Others

Amounts held for others, reported as both an asset and liability in the accompanying consolidated statements of financial position, comprised the following as of:

June 30,	**2025**	2024
Endowment held for James Madison's Montpelier	**$ 9,656,440**	$ 9,552,495
Endowment held for the benefit of Congressional Cemetery	**6,093,648**	5,774,065
Endowment held for the benefit of Belle Grove	**3,752,599**	2,452,634
Total amounts held for others	**$ 19,502,687**	$ 17,779,194

7. Split-Interest Agreements

The Trust is a beneficiary of split-interest agreements in the form of charitable gift annuities, charitable remainder unitrusts, unitrusts, and pooled income funds that are included in other investments in the accompanying consolidated statements of financial position, and include the following as of:

June 30,	**2025**	2024
Charitable gift annuities	**$ 2,401,948**	$ 2,364,287
Charitable remainder unitrusts, non-trusteed	**2,003,784**	1,968,863
Charitable remainder unitrusts, trusteed	**770,603**	731,122
Unitrusts	**237,149**	228,426
Pooled income funds	**37,585**	36,892
Total assets held under split-interest agreements	**$ 5,451,069**	$ 5,329,590

As of June 30, 2025 and 2024, liabilities associated with split-interest agreements in other liabilities in the accompanying consolidated statements of financial position comprised the following as of:

June 30,		**2025**		2024
Charitable gift annuities	**$**	**1,589,823**	$	1,690,670
Charitable remainder unitrusts, trusteed		**280,834**		279,971
Pooled income funds		**3,815**		4,016
Total liabilities related to split-interest agreements	**$**	**1,874,472**	$	1,974,657

Liability balances represent the present value of future cash flows expected to be paid to the donor or the donor's designee over the estimated remaining term of the agreement. During the years ended June 30, 2025 and 2024, the Trust recognized $123,858 and $114,358, respectively, in accretion of discounts related to split-interest agreements.

The Trust is the beneficiary of irrevocable retained life estates wherein the Trust has a remainder interest in donated property. The donor has the right to live in the property until death at which time the Trust takes possession of the property. Retained life estates are recorded at fair value in the consolidated statements of activities in the period received. Fair value is generally determined by appraisal at the time of the transfer of ownership. The input to the fair value estimate is classified in Level 3 of the fair value hierarchy. Non-collection real estate held with retained life estates totaled $20.0 million at June 30, 2025 and 2024, respectively, and is included in other investments in the accompanying consolidated statements of financial position.

8. Guarantees

Bond Purchase and Loan Agreement

The Trust has executed a Guaranty Agreement with respect to the obligation of The Montpelier Foundation (the Foundation) under a Bond Purchase and Loan Agreement. The Trust would be obligated to pay any outstanding obligation, without limitations, to Capital One Bank in the event the Foundation defaults under the Bond Purchase and Loan Agreement. The maximum potential amount of future payments under the guarantee is $9.1 million at June 30, 2024. The outstanding bond balance at June 30, 2024 is $6,241,000 under the Bond Purchase and Loan Agreement. The funds invested by the Trust for the benefit of the Foundation or donor-restricted for the Foundation were sufficient to offset any potential costs or payments incurred by the Trust under the Agreement.

At June 30, 2024, no liability was reported in the accompanying consolidated statements of financial position related to the Agreement as: (a) at that time, no information existed to indicate that a future event would occur that would cause the Trust to incur a contingent liability under the Agreement; (b) the Trust is exempt from fair valuation treatment of non-contingent liabilities under FASB ASC 460, *Guarantees*, under ASC 460-10-30-1, ASC and 460-10-25-1; and (c) the Trust and Foundation are related parties.

On June 14, 2024, at the request of the Foundation, the National Trust Board of Trustees approved a resolution authorizing a draw from three funds held by the National Trust in the amount of $6.2 million to repay the bond held by the Foundation and guaranteed by the National Trust. The bond repayment was completed on the payoff date of July 18, 2024.

Construction and Debt

On February 15, 2023, CMP LLC entered into a permanent loan in the amount of $4,760,000 with Pacific Valley Bank. The National Trust, FHP, and an individual partner of Foothill Partners are co-guarantors of the loan and guarantee the full repayment of the loan. The loan is secured with real and personal property of the historic site and is a ten-year loan with a maturity date of March 15, 2033. The loan balance outstanding was $4,538,219 and $4,626,280 as of June 30, 2025 and 2024, respectively.

9. Investments

The composition of investments held by the Trust at June 30, 2025 is presented below:

	Endowment and similar funds including amounts held for others	Other investments including short-term investments	Total
Cash holdings	$ 19,460,174	$ 1,773,251	$ 21,233,425
Short-term holdings	-	36,926,450	36,926,450
Mutual funds	19,394,065	5,475,632	24,869,697
Equities - U.S.	97,085,281	5,764,144	102,849,425
Equities - global	42,302,587	2,347,132	44,649,719
Fixed income	1,745,490	104,770,775	106,516,265
Hedge funds	67,449,227	2,751,227	70,200,454
Opportunistic	-	824,222	824,222
Real assets	13,089,193	1,243,802	14,332,995
Non-collection real estate	-	20,000,000	20,000,000
Private equity	65,503,402	2,643,778	68,147,180
Private credit	13,422,369	547,493	13,969,862
Total investments	$ 339,451,788	$ 185,067,906	$ 524,519,694

The composition of investments held by the Trust at June 30, 2024 is presented below:

	Endowment and similar funds including amounts held for others	Other investments including short-term investments	Total
Cash holdings	$ 24,559,672	$ 1,456,849	$ 26,016,521
Short-term holdings	-	20,130,995	20,130,995
Mutual funds	10,780,025	3,952,941	14,732,966
Equities – U.S.	91,708,180	5,254,785	96,962,965
Equities – global	58,958,504	3,147,939	62,106,443
Fixed income	1,669,606	46,803,627	48,473,233
Hedge funds	51,035,683	1,982,067	53,017,750
Opportunistic	-	732,464	732,464
Real assets	13,137,943	1,487,793	14,625,736
Non-collection real estate	-	20,000,000	20,000,000
Private equity	72,315,335	2,772,078	75,087,413
Total investments	$ 324,164,948	$ 107,721,538	$ 431,886,486

The endowment and similar funds include all original donor-restricted gift amounts and amounts required to be maintained in perpetuity, accumulated investment gains, assets designated by the board for long-term purposes, and a general fund for unspent contributions with donor restrictions. Funds held for others are a component of the endowment funds. Other investments represent donated non-collection property under irrevocable retained life estates, unspent grant funds received that the Trust has invested to obtain higher yields and split-interest agreements.

10. Fair Value Measurements

FASB ASC 820, *Fair Value Measurements and Disclosures* (ASC 820) defines fair value, requires disclosures about fair value measurements, and establishes a three-level hierarchy for fair value measurements based on the inputs to the valuations of an asset or liability at the measurement date. Fair value is defined as the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The following three-level hierarchy classifies the inputs used to determine fair value:

- Level 1 - quoted prices in active markets for identical assets or liabilities;
- Level 2 - inputs, other than quoted prices, that are observable by a marketplace participant, either directly or indirectly; and
- Level 3 - unobservable inputs that are significant to the fair value measurement.

The Trust applies the guidance in ASC 820 to its investments including equities, bonds and fixed income, hedge funds, real assets, and private equity. This guidance permits, as a practical expedient, the fair values of investments within its scope to be estimated using net asset value (NAV) per share or its equivalent.

It should be noted that investment risk cannot be estimated based on this classification methodology.

The following table classifies all investments into the hierarchy set forth by ASC 820 as of June 30, 2025:

Description	Fair Value Hierarchy Level: Level 1	Level 2	Level 3	Reported at NAV *	Total
Cash holdings	$ 21,233,425	$ -	$ -	$ -	$ 21,233,425
Short-term holdings	36,926,450	-	-	-	36,926,450
Mutual funds	24,869,697	-	-	-	24,869,697
Equities – U.S.	2,321,939	-	-	100,527,486	102,849,425
Equities – global	1,825,543	-	-	42,824,176	44,649,719
Fixed income	104,906,122	888,924	-	721,219	106,516,265
Hedge funds - other	-	-	-	8,608	8,608
Hedge funds - credit-driven/ distressed	-	-	-	14,734,529	14,734,529
Hedge funds – global	-	-	-	55,457,317	55,457,317
Opportunistic	824,222	-	-	-	824,222
Real assets	-	-	-	14,332,995	14,332,995
Non-collection real estate	-	-	20,000,000	-	20,000,000
Private equity	-	-	-	68,147,180	68,147,180
Private credit	-	-	-	13,969,862	13,969,862
Total	$ 192,907,398	$ 888,924	$ 20,000,000	$ 310,723,372	$ 524,519,694

* Certain investments that are measured at NAV, as a practical expedient, have not been categorized in the fair value hierarchy. The fair value amounts presented in this table are intended to permit reconciliation of the fair value hierarchy to the amounts presented in the accompanying consolidated statements of financial position.

The following table classifies all investments into the hierarchy set forth by ASC 820 as of June 30, 2024:

	Fair Value Hierarchy Level			Reported at	
Description	Level 1	Level 2	Level 3	NAV *	Total
Cash holdings	$ 26,016,521	$ -	$ -	$ -	$ 26,016,521
Short-term holdings	20,130,995	-	-	-	20,130,995
Mutual funds	14,732,966	-	-	-	14,732,966
Equities – U.S.	1,859,162	-	-	95,103,803	96,962,965
Equities – global	14,796,026	-	-	47,310,417	62,106,443
Fixed income	47,245,209	620,944	-	607,080	48,473,233
Hedge funds - other	-	-	-	9,470	9,470
Hedge funds - credit-driven/ distressed	-	-	-	12,520,515	12,520,515
Hedge funds – global	-	-	-	40,487,765	40,487,765
Opportunistic	732,464	-	-	-	732,464
Real assets	-	-	-	14,625,736	14,625,736
Non-collection real estate	-	-	20,000,000	-	20,000,000
Private equity	-	-	-	75,087,413	75,087,413
Total	$ 125,513,343	$ 620,944	$ 20,000,000	$ 285,752,199	$ 431,886,486

* Certain investments that are measured at NAV, as a practical expedient, have not been categorized in the fair value hierarchy. The fair value amounts presented in this table are intended to permit reconciliation of the fair value hierarchy to the amounts presented in the accompanying consolidated statements of financial position.

Changes in Fair Value Levels

To assess the appropriate classification of investments within the fair value hierarchy, the availability of market data is monitored. Changes in economic conditions or valuation techniques may require the transfer of investments from one fair value level to another. The Trust's management evaluates the significance of transfers between levels based upon the nature of the investment. For the years ended June 30, 2025 and 2024, there were no transfers in or out of Level 3.

The following table sets forth a summary of the Trust's investments with a reported Level 3 and NAV as of June 30, 2025:

	Investments measured at NAV and Level 3	Unfunded commitments	Redemption frequency	Notice period
Equities – U.S. (a)	$ 100,527,486	$ -	Monthly to quarterly	30 – 60 days
Equities - global (a)	42,824,176	-	Daily to monthly	6 – 30 days
Fixed income (b)	721,219	-	Daily	3 days
Hedge funds - other (c)	8,608	-	Quarterly	60 – 90 days
Hedge funds - credit-driven/distressed (c)	14,734,529	-	Quarterly	60 – 90 days
Hedge funds - global (c)	55,457,317	-	Quarterly to annually	60 - 90 days
Real assets (d)	14,332,995	-	Locked	N/A
Non-collection real estate (e)	20,000,000	-	No fixed redemption period	N/A
Private equity (f)	68,147,180	13,328,647	Locked	N/A
Private credit (g)	13,969,862	17,095,434	N/A	N/A
Total investments measured at NAV and Level 3	$ 330,723,372	$ 30,424,081		

The nature and risks inherent in each of the Trust's major categories of investments where the fair value was estimated using the practical expedient are summarized as follows:

a) This category includes U.S. and global equity investments and share in the returns and risks associated with exposure to their respective markets.
b) This category includes fixed income investments and share in the returns and risks associated with exposure to U.S. and non-U.S. credit markets, interest rates, and foreign currencies.
c) Hedge fund investments are comprised of a diversified portfolio and share in the returns and risks associated with the equity markets, credit markets, interest rates, and foreign currencies. In addition, some of these funds may present lower liquidity, organizational risk, event and deal risks, leverage, and counterparty risk. Reduced redemption rights have been accepted for certain funds in order to access these funds.
d) Real assets are invested globally, principally in the energy and materials sector with smaller amounts invested in land, timber, and renewable energy, and share in the returns and risks associated with equity markets, interest rates, and commodities markets.
e) Non-collection real estate consists of donated property with an irrevocable retained life estate wherein the Trust has a remainder interest in the property.

f) Private equity investments are invested globally in consumer, computer, medical/pharmaceuticals, communications, financials, services, energy, and electronics and share in the risks and returns associated with the equity markets and credit market risks.
g) Private credit investments include direct lending and privately negotiated loans to companies across various industries, generating returns primarily from interest income and fees. Investors are exposed to credit risk related to borrower creditworthiness, as well as risks arising from changing market conditions, interest rate fluctuations, and liquidity constraints.

The following table sets forth a summary of the Trust's investments with a reported level 3 and NAV as of June 30, 2024:

	Investments measured at NAV and Level 3	Unfunded commitments	Redemption frequency	Notice period
Equities – U.S. (a)	$ 95,103,803	$ -	Monthly to quarterly	30 – 60 days
Equities - global (a)	47,310,417	-	Daily to monthly	6 – 30 days
Fixed income (b)	607,080	-	Daily	3 days
Hedge funds - other (c)	9,470	-	Quarterly	60 – 90 days
Hedge funds - credit-driven/distressed (c)	12,520,515	-	Quarterly	60 – 90 days
Hedge funds - global (c)	40,487,765	-	Quarterly to annually	60 - 90 days
Real assets (d)	14,625,736	364,622	Locked	N/A
Non-collection real estate (e)	20,000,000	-	No fixed redemption period	N/A
Private equity (f)	75,087,413	18,471,315	Locked	N/A
Total investments measured at NAV and Level 3	$ 305,752,199	$ 18,835,937		

The nature and risks inherent in each of the Trust's major categories of investments where the fair value was estimated using the practical expedient are summarized as follows:

a) This category includes U.S., and global equity investments and share in the returns and risks associated with exposure to their respective markets.
b) This category includes fixed income investments and share in the returns and risks associated with exposure to U.S. and non-U.S. credit markets, interest rates, and foreign currencies.
c) Hedge fund investments are comprised of a diversified portfolio and share in the returns and risks associated with the equity markets, credit markets, interest rates, and foreign currencies. In addition, some of these funds may present lower liquidity, organizational risk, event and deal risks, leverage, and counterparty risk. Reduced redemption rights have been accepted for certain funds in order to access these funds.

d) Real assets are invested globally, principally in the energy and materials sector with smaller amounts invested in land, timber, and renewable energy, and share in the returns and risks associated with equity markets, interest rates, and commodities markets.
e) Non-collection real estate consists of donated property with an irrevocable retained life estate wherein the Trust has a remainder interest in the property.
f) Private equity investments are invested globally in consumer, computer, medical/ pharmaceuticals, communications, financials, services, energy, and electronics and share in the risks and returns associated with the equity markets and credit market risks.

11. Management of Endowment Funds

The Trust's endowment includes both donor-restricted endowment funds and funds designated by the Board of Trustees to function as endowments. Donor-restricted endowment funds and donor-restricted term endowment funds are classified as net assets with donor restrictions.

The Trust has interpreted the District of Columbia *Uniform Prudent Management of Institutional Funds Act of 2007* (the Act) as requiring the Trust, absent explicit donor stipulations to the contrary, to act in good faith and with the care that an ordinarily prudent person in a like position would exercise under similar circumstances in making determinations to appropriate or accumulate donor-restricted endowment funds, taking into account both its obligation to preserve the value of the endowment and its obligation to use the endowment to achieve the purposes for which it was donated. The Trust classifies as net assets with donor restrictions (a) the original value of gifts donated to the permanent endowment, (b) the original value of subsequent gifts to the permanent endowment, and (c) accumulations to the permanent endowment required by the applicable donor gift instrument. The remaining portion of donor-restricted endowment funds that are not classified as described above, are classified as accumulated investment gain net assets with donor restrictions until those amounts are appropriated for expenditure by the Trust.

In making a determination to appropriate or accumulate, the Trust adheres to the standard of prudence prescribed by the Act and considers the following factors:

1) The duration and preservation of the fund;
2) The purpose of the Trust and the donor-restricted endowment;
3) General economic conditions;
4) The possible effect of inflation and deflation;
5) The expected unrealized appreciation and depreciation of the investments;
6) Other resources of the Trust; and
7) The investment policy of the Trust.

From time to time, the fair value of assets associated with individual donor-restricted endowment funds may fall below the level that the donor or the Act requires. These deficiencies resulted from unfavorable market fluctuations that occurred shortly after the investment of net contributions for donor-restricted endowment funds. While the Trust has interpreted UPMIFA to permit spending from underwater endowments in accordance with the prudent measures required under law, no funds were appropriated from these funds once balances were determined to be underwater. Deficiencies of this nature are reported in net assets with donor restrictions. As of June 30, 2025 and 2024, there were no funds with deficiencies.

Endowment net assets consist of the following as of June 30, 2025:

	Without Donor Restriction	With Donor Restrictions	Total
Board-designated quasi-endowment funds:	$ 85,057,773	$ -	$ 85,057,773
Donor-restricted endowment funds:			
Original donor-restricted gift amount and amounts required to be maintained in perpetuity by donor	-	112,997,437	112,997,437
Accumulated investment gains	-	97,865,474	97,865,474
Term endowments	-	23,651,134	23,651,134
Total	$ 85,057,773	$ 234,514,045	$ 319,571,818

Changes in endowment net assets for year ended June 30, 2025 are as follows:

	Without Donor Restriction	With Donor Restrictions	Total
Endowment net assets, beginning of year	$ 81,981,354	$ 224,121,347	$ 306,102,701
Contributions	-	3,848,908	3,848,908
Appropriation for operational expenditures	(4,998,028)	(15,037,765)	(20,035,793)
Investment return	8,074,447	21,581,555	29,656,002
Endowment net assets, end of year	$ 85,057,773	$ 234,514,045	$ 319,571,818

Endowment net assets consist of the following as of June 30, 2024:

	Without Donor Restriction	With Donor Restrictions	Total
Board-designated quasi-endowment funds	$ 81,981,354	$ -	$ 81,981,354
Donor-restricted endowment funds:			
Original donor-restricted gift amount and amounts required to be maintained in perpetuity by donor	-	109,238,529	109,238,529
Accumulated investment gains	-	90,033,977	90,033,977
Term endowments	-	24,848,841	24,848,841
Total	$ 81,981,354	$ 224,121,347	$ 306,102,701

Changes in endowment net assets for year ended June 30, 2024 are as follows:

	Without Donor Restriction	With Donor Restrictions	Total
Endowment net assets, beginning of year	$ 83,643,386	$ 209,757,794	$ 293,401,180
Contributions	-	2,751,376	2,751,376
Appropriation for operational expenditures	(6,982,580)	(8,786,090)	(15,768,670)
Investment return	5,320,548	20,398,267	25,718,815
Endowment net assets, end of year	$ 81,981,354	$ 224,121,347	$ 306,102,701

12. Rental Income (Lessor) and Rental Expense (Lessee)

The Emerson building, located in Denver, Colorado, is used for both Trust staff offices and a leased space to third parties. The cost of the Emerson building and renovations at June 30, 2025 and 2024 was $4,853,745 and $4,703,273, respectively, with accumulated depreciation and amortization of $1,006,796 and $865,657, respectively. The leased portion of the Emerson building accounts for 82% of the total square footage of 14,120. Of the leased portion, the property is 54% occupied under six leases ranging from 24 to 183 months. The individual tenants' square footage leased ranges from 192 to 2,021 square feet. Leases expire at various periods through April 2027.

The Cooper-Molera Adobe historic site leases commercial portions of the site to third parties. The cost of renovations to the buildings used for commercial purposes at June 30, 2025 and 2024 was $7,856,843, with accumulated depreciation and amortization of $1,467,008 and $1,250,308, respectively. The commercial portion of the Cooper-Molera Adobe historic site is 8,565 square feet. The property is 100% occupied under three leases ranging from 120 to 121 months. The individual tenants' square footage leased ranges from 1,761 to 3,789 square feet. Leases expire at various periods through August 2028. The exercise of lease renewals, if available under the lease options, is generally at the Trust's discretion and is considered in the Trust's assessment of the respective lease term. There is no option for a lessee to purchase the rental space in the lease agreement.

The Trust also rents buildings at its historic sites to staff or unrelated parties as housing or other uses and also leases space for site staff offices, visitor facilities, and related uses with various lease expiration dates. Most of these buildings are considered part of the Trust's collection and are therefore not included in the consolidated financial statements.

During the years ended June 30, 2025 and 2024, the Trust recognized rental income of $1,193,474 and $1,338,769, respectively, which is included in program fees and other income in the accompanying consolidated statements of activities.

During 2022, the Trust entered into a sublease agreement for its Washington, D.C. headquarters office space, which is currently under the terms of an operating lease. The lease includes provisions for rental abatement and rental rate escalation and expires in December 2028. The rental income received under the terms of the sublease agreement does not exceed the costs of the original lease. The resulting estimated loss from sublease income not exceeding the core operating lease payments is included in the right-of-use asset-operating balance associated with the lease. During the years ended June 30, 2025 and 2024, the Trust recognized sublease income of $1,040,986 and $1,041,337, respectively, which is included in program fees and other income in the accompanying consolidated statements of activities.

Future minimum lease income from non-cancelable operating leases is as follows:

Years ending June 30,	
2026	$ **1,920,031**
2027	**1,990,961**
2028	**2,064,551**
2029	**814,940**
Total	$ **6,790,483**

Rental Expense

The Trust leases office space that was previously used for its Washington, D.C. headquarters office space under an operating lease that extends through December 2028. The lease requires fixed monthly payments with annual escalations and provided for certain rent abatement and improvement allowances. The lease includes an option to extend the lease for one five-year term. The exercise of this option is not considered reasonably certain; and therefore, the period covered under the option term has not been included in the calculation of the related lease liability and right-of-use asset that are included in the accompanying consolidated statement of financial position.

During the year ended June 30, 2023, the Trust entered into a lease agreement for office space to be used for its new Washington, DC headquarters. The lease requires fixed monthly payments with annual escalations. The original term of the lease is for three years with options to extend the term for two consecutive one-year periods (through November 2027). As of June 30, 2023, the Trust was reasonably certain it would exercise these two options; and therefore, the periods covered under the option terms were included in the calculation of the related lease liability and right-of-use asset as of June 30, 2023.

During 2023, management reassessed the lease term due to the hiring of an executive officer and determined that the Trust was no longer reasonably certain to exercise the options to extend the term. Accordingly, effective December 1, 2023, the related lease liability was remeasured, resulting in a reduction of the lease liability by $869,926 and a corresponding reduction in the related right-of-use asset. Effective December 1, 2023, the Trust also executed an amendment to the original agreement to lease additional space under the same terms as the original agreement. The lease amendment was accounted for as a separate contract under FASB ASC 842, *Leases*.

In September 2025, the Trust executed an additional amendment to the original agreement to extend the lease term of the original leased space through December 2028. The additional amended lease requires fixed monthly payments and provides certain rent abatements. As a result of this additional amendment, the related lease liability will be remeasured as of the effective date of the additional amendment, with a corresponding increase to the related right-of-use asset.

The Trust leases certain other facilities and equipment under operating leases with terms that expire at various times through 2027. Right-of-use assets and lease liabilities for these leases are included in the accompanying consolidated statements of financial position. Total lease expense under these operating leases was $2,652,679 and $2,516,012 for the years ended June 30, 2025 and 2024, respectively, and is included in occupancy expenses in the accompanying consolidated statements of functional expenses.

Minimum future lease commitments on office space and equipment are as follows:

Years ending June 30,	**Operating**
2026	$ **3,031,919**
2027	**2,796,086**
2028	**2,499,544**
2029	**1,207,320**
Total undiscounted future cash flows	**9,534,869**
Less: imputed interest	**(468,468)**
Net lease liabilities	$ **9,066,401**

Supplemental information related to the Trust's operating leases is as follows:

	2025	2024
Cash paid for amounts included in the measurement of lease liabilities - operating cash flows	$ **3,302,152**	$ 3,254,741
Right-of-use assets obtained in exchange for new lease obligations	**-**	210,050
Remeasurement of right-of-use asset and lease liability	**-**	(869,926)
Weighted-average remaining lease term (in years)	**3.3**	4.1
Weighted-average discount rate	**3.05%**	3.13%

13. Notes Payable

Notes payable at June 30, 2025 and 2024 consist of the following:

	2025	2024
Bank of America line-of-credit $7,500,000 for operations with an interest rate of Daily Secured Overnight Financing Rate (SOFR) plus the SOFR Adjustment (0.10%) plus 1.10% (5.6% at June 30, 2025) paid monthly. The line-of-credit expires, if not renewed, on March 31, 2026. The line-of-credit is secured with deposits and accounts maintained with Bank of America.	$ -	$ 1,000,000
Ruth Falkenberg $1,500,000 loan for the renovation of Emerson School Building in Denver at 4% monthly interest with interest and principal payments of $5,991 through April 1, 2027. The loan is secured with the deed of trust on the Emerson School Building.	1,179,642	1,203,819
Pacific Valley Bank $4,760,000 permanent loan at 6.20% annual interest through February 14, 2028. Beginning February 15, 2028, the annual interest rate will be equal to the United States Treasury Securities yield, adjusted to a constant maturity of 10 years, plus 2.74%. Principal and interest payments are $31,513 per month. The loan matures on March 15, 2033 and is secured with a leasehold interest in the commercial portions of the Cooper-Molera Adobe property.	4,538,219	4,626,280
The 1772 Foundation, Inc. $1,000,000 10-year interest only loan (program-related investment) at 2% annual interest. Principal is due May 15, 2035. The loan is unsecured.	1,000,000	-
Unsecured promissory note for the renovation of Cooper-Molera Adobe historic site in Monterey, California at 8% interest per annum. Principal and unpaid accrued interest are due and payable in full on May 15, 2026.	60,991	130,470
Banc of America Leasing & Capital, LLC $55,340 equipment security note at 5.45% annual interest with monthly principal and interest payments of $1,056 and a maturity date of July 19, 2029.	46,287	-
Banc of America Leasing & Capital, LLC $43,611 equipment security note at 5.59% annual interest with monthly principal and interest payments of $835 and a maturity date of June 28, 2029.	35,834	43,611
Kubota Credit Corporation $20,532 equipment security note at 0% annual interest with monthly principal and interest payments of $289 and a maturity date of March 1, 2029.	13,014	17,057

	2025	2024
Total	**6,873,987**	7,021,237
Less: current portion	**(207,748)**	(1,260,497)
Noncurrent portion	**$ 6,666,239**	$ 5,760,740

Future principal payments of notes payable outstanding at June 30, 2025 are as follows:

Years ending June 30,	
2026	**$ 207,748**
2027	**1,283,479**
2028	**136,132**
2029	**144,313**
2030	**128,425**
Thereafter	**4,973,890**
Total	**$ 6,873,987**

14. Net Assets

Net assets without donor restrictions consist of the following at June 30, 2025:

	Available for operations	**Board-designated**	**Total**
Net investment in property and equipment	**$ 13,365,742**	**$ -**	**$ 13,365,742**
Other operating funds	**15,130,798**	**-**	**15,130,798**
Funds functioning as board-designated quasi-endowment funds	**-**	**85,057,773**	**85,057,773**
Other board-designated	**-**	**1,252,654**	**1,252,654**
	$ 28,496,540	**$ 86,310,427**	**$ 114,806,967**

Net assets without donor restrictions consist of the following at June 30, 2024:

	Available for operations	Board-designated	Total
Net investment in property and equipment	$ 13,711,721	$ -	$ 13,711,721
Other operating funds	14,693,643	-	14,693,643
Funds functioning as board - designated quasi-endowment funds	-	81,981,354	81,981,354
Other board-designated	-	2,310,442	2,310,442
	$ 28,405,364	$ 84,291,796	$ 112,697,160

Net assets with donor restrictions result from gifts of cash and other assets with donor-imposed restrictions to (a) support particular program activities, (b) invest for a specified term, (c) use in a specified period, or (d) acquire long-lived assets. Net assets with donor restrictions are restricted for the following purposes or periods:

June 30,	**2025**	2024
Subject to expenditure for a specified purpose:		
NMSC subsidiary	**$ 8,879,810**	$ 9,343,877
Specific properties or programs	**131,757,872**	114,441,615
	140,637,682	123,785,492
Subject to the passage of time:		
Beneficial interest in charitable trusts	**9,803**	6,387
Assets held under split-interest agreements	**55,047**	50,683
	64,850	57,070
Endowments:		
Subject to appropriation and expenditure when a specified event occurs:		
Restricted by donors for preservation and maintenance of specific historic properties or programs	**121,516,608**	114,882,818
Subject to endowment policy and appropriation:		
Specific properties	**74,539,026**	71,838,026
Specific programs	**26,744,279**	25,716,371
General operations	**11,714,132**	11,684,132
	234,514,045	224,121,347
Unconditional promises to give, net – permanently restricted to endowment	**21,020,334**	20,155,474
Not subject to spending policy or appropriation:		
Beneficial interest in charitable trusts held by others	**246,592**	246,592
Assets held under split-interest agreements	**(81,620)**	(82,571)
	164,972	164,021
Total net assets with donor restrictions	**$ 396,401,883**	$ 368,283,404

15. Designated by Board of Trustees

Funds designated by the Board of Trustees represent the portion of funds without donor restrictions that have been set aside for specific purposes by action of the Board of Trustees.

Following is a summary of activity in funds designated by the Trustees for the years ended June 30:

	2025	2024
Board-designated net assets, beginning of year	**$ 84,291,796**	$ 85,872,650
Activity for the year:		
Amounts transferred to board-designated	**293,949**	382,284
Net gains on quasi-endowments	**8,074,447**	5,320,548
Funds expended for board-designated purposes	**(6,349,765)**	(7,283,686)
Total activity for the year	**2,018,631**	(1,580,854)
Board-designated net assets, end of year	**$ 86,310,427**	$ 84,291,796

16. Retirement Plans

The Trust adopted a noncontributory defined contribution pension plan effective January 1, 1986. The plan provides benefits to all eligible employees of the Trust. Contributions are determined based on 5% of the eligible employees' earnings for the calendar year. Employer contributions for eligible employees were $1,072,511 and $953,657 for the years ended 2025 and 2024, respectively.

Participants are 20% vested after two years of service, 50% vested after three years of service, 75% vested after four years of service, and 100% vested after five years of service or upon reaching age 55. Forfeitures of non-vested participant balances are used to offset future employer contributions.

The Trust adopted a voluntary employee contribution 403(b) retirement plan in 2007 to provide retirement benefits to eligible employees on an elective deferral contribution basis. The Plan is subject to the requirements of the Employee Retirement Income Security Act of 1974 (ERISA). Employees are 100% vested in their accounts at all times.

The Trust adopted a nonqualified deferred retirement savings plan (457(b)) for senior management and highly compensated employees on January 1, 2003. The plan currently allows eligible employees to defer salary amounts up to the maximum allowed under IRS regulations. The Retirement Committee adopted a resolution on November 18, 2015 specifying that a select group of management or highly compensated employees are eligible to participate. As of June 30, 2025 and 2024, assets and liabilities associated with this plan are $641,023 and $625,391, respectively.

17. Contingencies

Government Grants

The Trust receives federal grants which are subject to audit. Until such audits have been completed and final settlement reached, there exists a contingency to refund amounts received in excess of allowable costs. Management believes that adjustments, if any, would not have a significant effect on the consolidated financial statements.

Litigation

The Trust occasionally has participated as plaintiff or defendant in litigation to defend its general corporate interests, for example in matters relating to contractual, employment, or tort-related claims. Management believes that the outcome of litigation, if any, will not be material to the consolidated financial statements.

18. Subsequent Events

The Trust has evaluated events subsequent to June 30, 2025 and through December 19, 2025, which is the date the consolidated financial statements were available to be issued. There were no events noted that required adjustment to or disclosure in these consolidated financial statements other than as described in Note 12 as it relates to the subsequent lease amendment.

Supplemental Schedules

National Trust for Historic Preservation in the United States and its Subsidiaries and Affiliates

Consolidating Schedule of Financial Position

June 30, 2025	National Trust	Subsidiaries and affiliates	Eliminations	Total
Assets				
Current assets:				
Cash and cash equivalents	$ 7,074,251	$ 9,875,151	$ -	$ 16,949,402
Short-term investments	113,273	14,862,838	(113,273)	14,862,838
Accounts receivable	2,289,168	5,229,466	(686,670)	6,831,964
Contributions receivable, current	8,755,086	3,652,304	-	12,407,390
Prepaid expenses and other assets	1,393,924	553,343	-	1,947,267
Total current assets	19,625,702	34,173,102	(799,943)	52,998,861
Noncurrent investments:				
Endowments and similar funds	319,571,817	375,560	1,724	319,949,101
Amounts held for others	19,879,971	-	(377,284)	19,502,687
Investment in subsidiaries	18,235,236	-	(18,235,236)	-
Other investments	169,788,324	416,744	-	170,205,068
Total noncurrent investments	527,475,348	792,304	(18,610,796)	509,656,856
Contributions receivable, net of current	3,224,701	-	-	3,224,701
Property and equipment, net	5,268,298	8,097,444	-	13,365,742
Right-of-use asset—operating lease	4,257,236	1,947,400	(1,302,351)	4,902,285
Other long-term assets	3,051,518	-	-	3,051,518
Total noncurrent assets	543,277,101	10,837,148	(19,913,147)	534,201,102
Total assets	$ 562,902,803	$ 45,010,250	$ (20,713,090)	$ 587,199,963
Liabilities and Net Assets				
Current liabilities:				
Accounts payable	$ 19,957,436	$ 4,543,066	$ (278,268)	$ 24,222,234
Accrued expenses	2,996,466	879,363	-	3,875,829
Refundable advances and deferred revenue, current	3,050,471	4,514,745	-	7,565,216
Lease liability—operating lease, current	2,498,138	256,388	-	2,754,526
Notes payable, current	47,257	160,491	-	207,748
Total current liabilities	28,549,768	10,354,053	(278,268)	38,625,553
Refundable advances and deferred revenue, net of current	1,798,640	-	-	1,798,640
Lease liability—operating lease, net of current	5,988,075	2,032,719	(1,708,919)	6,311,875
Notes payable, net of current	1,227,521	5,552,101	(113,383)	6,666,239
Amounts held for others	19,879,971	-	(377,284)	19,502,687
Other liabilities	2,525,699	560,420	-	3,086,119
Total liabilities	59,969,674	18,499,293	(2,477,854)	75,991,113
Net assets				
Without donor restrictions	116,226,143	17,631,147	(19,050,323)	114,806,967
With donor restrictions	386,706,986	8,879,810	815,087	396,401,883
Total net assets	502,933,129	26,510,957	(18,235,236)	511,208,850
Total liabilities and net assets	$ 562,902,803	$ 45,010,250	$ (20,713,090)	$ 587,199,963

National Trust for Historic Preservation in the United States and its Subsidiaries and Affiliates

Consolidating Schedule of Activities

June 30, 2025	National Trust	Subsidiaries and affiliates	Eliminations	Total
Operating revenues, gains, and other support				
Contributions and grant income	$ 69,324,920	$ 13,255,236	$ (1,700,000)	$ 80,880,156
Contributions of nonfinancial assets	1,457,676	-	-	1,457,676
Contract services	401,628	26,773,385	(364,028)	26,810,985
Investment income	31,906,059	528,910	(5,002,644)	27,432,325
Admissions and special events	4,597,356	1,505,077	(4,400)	6,098,033
Program fees and other income	4,925,414	4,073,885	(1,213,386)	7,785,913
Total operating revenues, gains and other support	112,613,053	46,136,493	(8,284,458)	150,465,088
Operating expenses				
Program services				
Historic sites	34,493,335	6,720,280	-	41,213,615
Preservation services	34,579,966	24,459,372	(3,296,199)	55,743,139
Education and publications	5,709,867	2,190,998	-	7,900,865
Total program services	74,783,168	33,370,650	(3,296,199)	104,857,619
Support services				
General and administration	7,191,908	5,757,842	-	12,949,750
Fundraising	6,966,861	227,397	-	7,194,258
Membership outreach	3,702,535	-	-	3,702,535
Total support services	17,861,304	5,985,239	-	23,846,543
Total operating expenses	92,644,472	39,355,889	(3,296,199)	128,704,162
Excess of operating revenues, gains, and other support over operating expenses	19,968,581	6,780,604	(4,988,259)	21,760,926
Nonoperating support (expense)				
Investment gains (losses) in excess (deficiency) of amounts designated for operations	10,928,499	(675,883)	-	10,252,616
Provision for income taxes (Note 1q)	-	(1,785,256)	-	(1,785,256)
Total nonoperating support (expense)	10,928,499	(2,461,139)	-	8,467,360
Change in net assets before inter-organizational dividends	30,897,080	4,319,465	(4,988,259)	30,228,286
Inter-organizational dividends	-	(4,325,000)	4,325,000	-
Change in net assets after inter-organizational dividends	30,897,080	(5,535)	(663,259)	30,228,286
Net assets, beginning of year	472,036,049	26,516,492	(17,571,977)	480,980,564
Net assets, end of year	$ 502,933,129	$ 26,510,957	$ (18,235,236)	$ 511,208,850

National Trust for Historic Preservation in the United States

Schedule of Activities (Parent Company Only)

June 30, 2025	Without Donor Restrictions	With Donor Restrictions	Total
Operating revenues, gains, and other support			
Contributions and grant income	$ 16,346,439	$ 52,978,481	$ 69,324,920
Contributions of nonfinancial assets	1,457,676	-	1,457,676
Contract services	401,628	-	401,628
Investment return	26,199,160	5,706,899	31,906,059
Admissions and special events	4,597,356	-	4,597,356
Program fees and other income	4,925,414	-	4,925,414
Net assets released from restrictions	38,107,365	(38,107,365)	-
Total operating revenues, gains, and other support	92,035,038	20,578,015	112,613,053
Operating expenses			
Program services			
Historic sites	34,493,335	-	34,493,335
Preservation services	34,579,966	-	34,579,966
Education and publications	5,709,867	-	5,709,867
Total program services	74,783,168	-	74,783,168
Support services			
General and administrative	7,191,908	-	7,191,908
Fundraising	6,966,861	-	6,966,861
Membership outreach	3,702,535	-	3,702,535
Total support services	17,861,304	-	17,861,304
Total operating expenses	92,644,472	-	92,644,472
(Deficiency) excess of operating revenues, gains, and other support over (under) operating expenses	(609,434)	20,578,015	19,968,581
Nonoperating support			
Investment gains in excess of amounts designated for operations	3,739,065	7,189,434	10,928,499
Change in net assets	3,129,631	27,767,449	30,897,080
Net assets, beginning of year	113,096,512	358,939,537	472,036,049
Net assets, end of year	$ 116,226,143	$ 386,706,986	$ 502,933,129